

Customer Retention & Churn Analysis

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This report analyses 7,043 customer records from a telecom subscription business to identify why customers leave, which segments churn most, and what retention actions would have the largest impact on revenue. It is written as an analyst deliverable for a product manager or founder deciding where to focus retention spend.

26.5% Overall churn rate	R1,531 Avg. lifetime value lost per churned customer	18.0 mo Avg. tenure at churn	42.7% Churn rate, month-to-month contracts
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1. Churn Overview

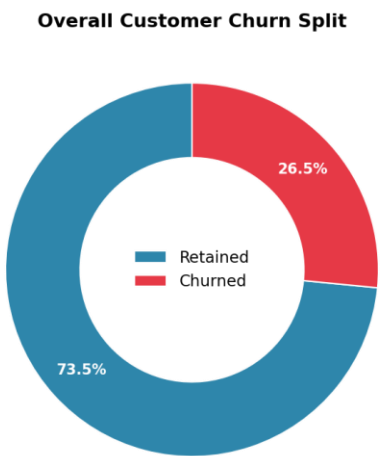


Figure 1: Of 7,043 customers, 1,869 (26.5%) churned during the observed period.

Nearly one in four customers has churned, which is high for a subscription business and represents significant recoverable revenue. Churned customers stayed an average of 18.0 months versus 37.6 months for retained customers, and paid higher average monthly charges (R74.44 vs R61.27), meaning the customers being lost are disproportionately higher-value ones. The average lifetime value (tenure x monthly charge) of a churned customer is R1,531.61, compared with R2,549.77 for a retained customer, a 40% gap per customer that compounds across the full churned base.

2. Customer Lifetime & Cohort Analysis

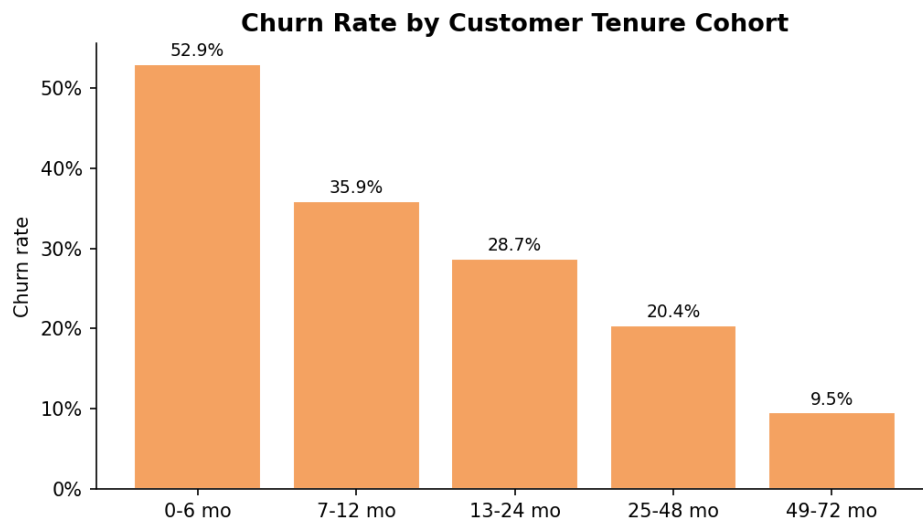


Figure 2: Churn rate by customer tenure cohort.

Churn is heavily concentrated in the early customer lifecycle. Customers in their first 6 months churn at 52.9%, more than five times the rate of customers who have stayed 49-72 months (9.5%). The churn rate falls steadily and consistently with every additional cohort – 52.9% -> 35.9% -> 28.7% -> 20.4% -> 9.5%, which is a classic onboarding/early-value problem rather than a late-stage fatigue problem. This means retention effort is most cost-effective when concentrated on the first six months of the relationship: customers who survive that window are increasingly likely to stay long-term.

3. Key Retention Drivers

3.1 Contract type is the single strongest lever

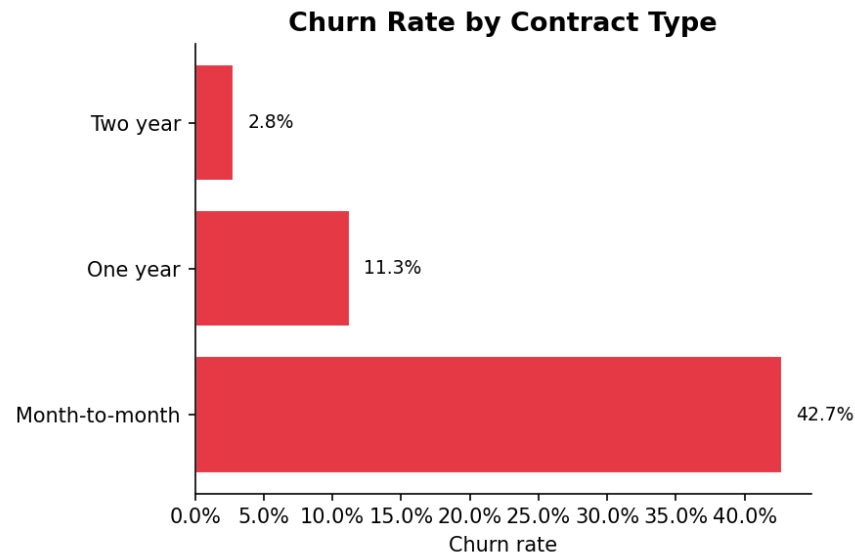


Figure 3: Churn rate by contract type.

Month-to-month customers churn at 42.7%, versus 11.3% for one-year contracts and just 2.8% for two-year contracts. Contract length has the widest churn-rate spread of any variable tested (39.9 percentage points), making it the single most actionable retention lever available to the business.

3.2 Service add-ons reduce churn

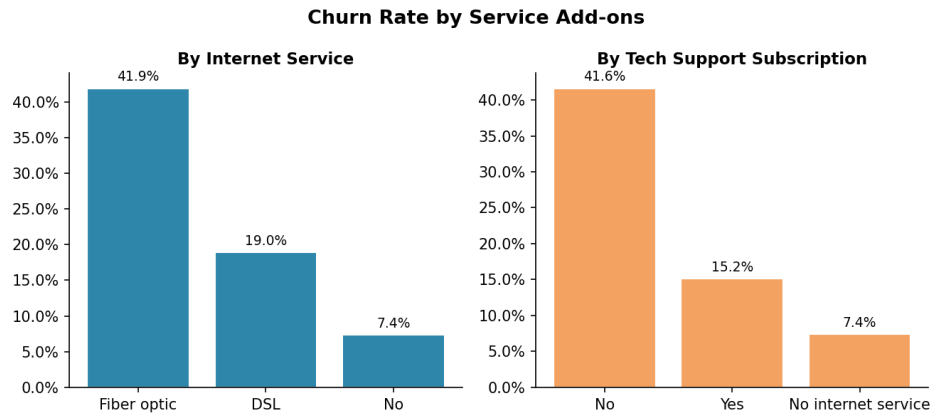


Figure 4: Churn rate by internet service type and by tech support subscription.

Fibre optic customers churn at 41.9%, far above DSL (19.0%) and customers with no internet service at all (7.4%) , fibre is likely priced at a premium and/or has reliability issues worth investigating. Separately, customers without Tech Support or Online Security churn at roughly three times the rate of those with these add-ons subscribed, suggesting these services function as effective retention tools rather than just upsells.

3.3 Payment method signals risk

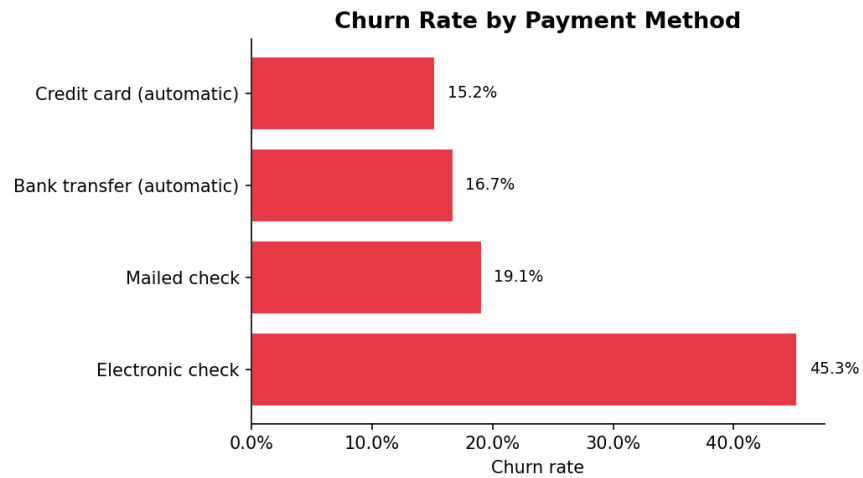


Figure 5: Churn rate by payment method.

Customers paying by electronic check churn at 45.3%, roughly three times the rate of customers on automatic bank transfer (16.7%) or automatic credit card (15.2%) payments. Manual payment methods appear to correlate with lower commitment and higher friction, making payment method a useful early-warning signal even though it is not itself a root cause.

4. Pricing & Value Perception

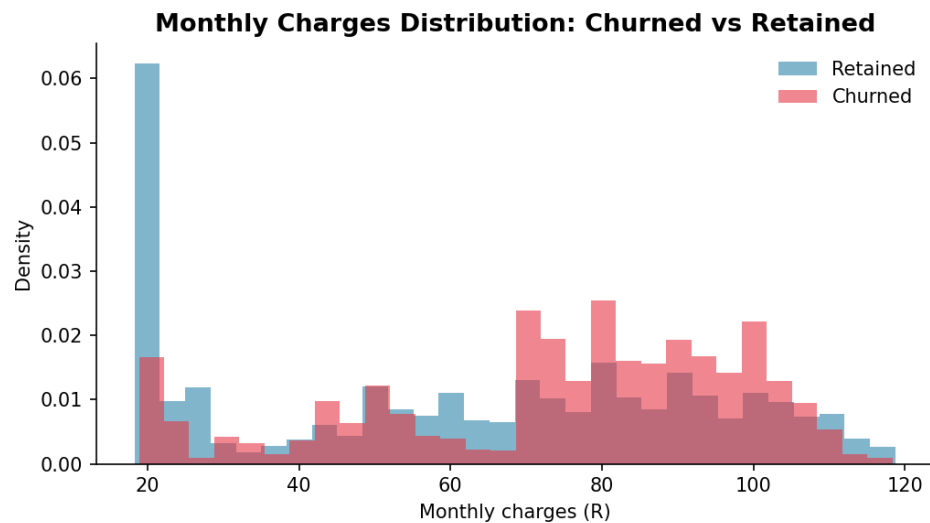


Figure 6: Distribution of monthly charges for churned vs. retained customers.

Churned customers are concentrated at higher monthly charge levels (R70-R100), while retained customers are more evenly spread, with a large low-cost segment around R20. This is consistent with the fibre-optic finding above: customers paying more expect more, and churn when the perceived value does not match the price. Combined with the tenure finding, high monthly charges appear most dangerous specifically in the first few months, before a customer has had time to see the value of the service.

5. Driver Ranking Summary

The table below ranks each customer attribute by how much churn rate varies across its categories (e.g. month-to-month vs two-year contract). A wider spread means the attribute is a stronger differentiator between customers who stay and customers who leave.

Rank	Attribute	Churn rate spread
1	Tenure cohort	43.4 pts
2	Contract type	39.9 pts
3	Internet service type	34.5 pts
4	Online security subscription	34.4 pts
5	Tech support subscription	34.2 pts
6	Online backup subscription	32.5 pts
7	Device protection subscription	31.7 pts
8	Payment method	30.0 pts
9	Streaming movies add-on	26.3 pts
10	Streaming TV add-on	26.1 pts

6. Actionable Recommendations

1. Convert month-to-month customers to term contracts

Contract type is the strongest single driver of churn (39.9-point spread). Offer a discount or added-value incentive (e.g. one free month, priority support) for month-to-month customers who switch to a one-year or two-year plan, targeted first at customers in their 4th-6th month, just before the highest-risk period ends.

2. Front-load onboarding in the first 6 months

Over half of first-6-month customers churn (52.9%). Introduce a structured onboarding sequence (welcome check-ins, usage tips, proactive support outreach) concentrated in months 1-3, when customers have not yet built the habit or seen the value of the service.

3. Bundle Tech Support and Online Security into core plans

Customers without these add-ons churn at roughly 3x the rate of those with them. Testing a bundled or discounted offer for at-risk segments (new sign-ups, fibre customers, electronic-check payers) could lift retention without a large cost increase.

4. Investigate the fibre optic experience and pricing

Fibre customers churn at 41.9%, far above DSL and no-internet customers, despite paying a premium. A short satisfaction survey or support-ticket audit for fibre customers would clarify whether this is a reliability issue, a price/value mismatch, or a competitive pressure issue.

5. Nudge electronic-check payers to automatic payment

Electronic check customers churn at 45.3%, roughly 3x automatic payment customers. A one-time incentive (small bill credit) for switching to autopay would reduce payment friction and surface a lower-risk customer base.